

RSM219 – CLASS 5

Additional Notes for Lecture

Estimated cash collected from customers:

If Sales is used as a proxy for cash inflows from operations, it must be adjusted to reflect the changes in AR & Unearned Revenue.

$$= \text{Revenues} - \text{Increase in AR} + \text{Increase in Deferred Revenues}$$

Estimated cash paid to suppliers:

If COGS is used as a proxy for cash inflows from operations, it must be adjusted to reflect the changes in AP & Inventory.

$$= \text{COGS} + \text{Increase in inventory} - \text{increase in A/P}$$

Understanding the change in WC

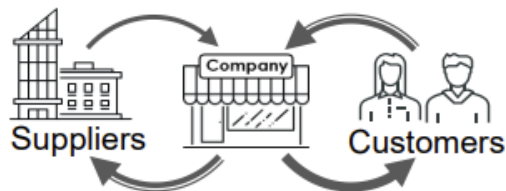
	Opening Balance – July 1st	Closing Balance – July 31st
ACCOUNTS RECEIVABLE	\$ 0	\$ 300

What creates an Accounts Receivable on the Balance Sheet?

In this case, if the AR goes up, does it mean that you collected more or less than what is currently recorded in your sales?

Understanding the changes in WC

2.5 During the month of August, THL made retail sales of \$8,500. The cost of inventory relating to these sales was \$2,200. All sales were made by cash or credit card, with \$300 of credit card sales still outstanding on August 31st.



Balance Sheet					Income Statement		
Cash	+	Noncash Assets	=	Liabilities + Contributed Capital + Earned Capital	Revenue	-	Expense = Net Income
\$8,200		\$300 A.R.		\$8,500 R.E.	\$8,500		\$8,500
		-\$2,200 Inventory		-\$2,200 R.E.			
						-\$2,200 COGS	-\$2,200

Understanding the change in WC

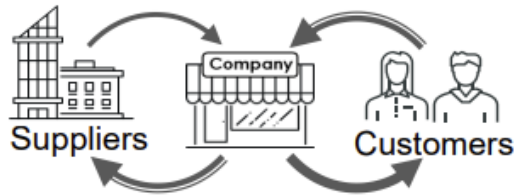
	Opening Balance – July 1st	Closing Balance – July 31st
DEFERRED REVENUES	\$ 0	\$ 1,000

What creates a Deferred Revenue on the Balance Sheet?

In this case, if the Deferred Revenues goes up, does it mean that you collected more or less than what is currently recorded in your sales?

Understanding the changes in WC

2.7 At the end of August, THL was able to secure a corporate order for promotional wellness products. The customer put down a \$1,000 deposit and will pay the remaining \$1,500 when products are delivered on September 10th.



Balance Sheet					Income Statement		
Cash	+	Noncash Assets	=	Liabilities + Contributed Capital + Earned Capital	Revenue	-	Expense = Net Income

\$1,000

\$1,000
Deferred
Revenue

Additional Notes

Notes to FS

From Amazon's 2022 Annual Report

Other Income (Expense), Net

Other income (expense), net was \$14.6 billion and \$(16.8) billion during 2021 and 2022. The primary components of other income (expense), net are related to equity securities valuations and adjustments, equity warrant valuations, and foreign currency. Included in other income (expense), net in 2021 and 2022 is a marketable equity securities valuation gain (loss) of \$11.8 billion and \$(12.7) billion from our equity investment in Rivian.

Amazon Income Statement - 2021

MARKETS BUSINESS INVESTING TECH POLITICS VIDEO INVESTING CLUB PRO LIVESTREAM

TECH

Amazon reveals 20% stake in electric-vehicle maker Rivian

PUBLISHED FRI, OCT 29 2021-12:19 PM EDT | UPDATED FRI, OCT 29 2021-6:33 PM EDT

Annie Palmer
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KEY POINTS

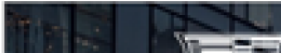
- Amazon holds a 20% stake in electric-vehicle maker Rivian Automotive, the e-commerce giant disclosed in a securities filing Friday.
- Rivian filed its IPO prospectus earlier this month, revealing new details about how closely enjoined Amazon and Rivian are.
- Amazon has contracted Rivian to produce 100,000 electric last-mile delivery vehicles by 2030.

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Rivian IPO



Why the Rivian IPO Matters

Rivian's IPO raised nearly \$12 billion, making it the largest IPO in the U.S. since 2014. The stock was up more than 21% from its initial opening price to the close of trading on Nov. 12, 2021, three trading days after the IPO.^{[9][4]} The broader U.S. equity market, as measured by the S&P 500, was basically flat over the same period. The size of the IPO and the rapid rise in Rivian's stock price reflects investors' excitement about the EV market, especially for startups seeking to develop EVs that compete with traditional automakers.

Investopedia.com

Other Income (Expense), Net

Other income (expense), net was \$2.4 billion and \$14.6 billion during 2020 and 2021. The primary components of other income (expense), net are related to equity securities valuations and adjustments, equity warrant valuations, and foreign currency. Included in other income (expense), net in 2021 is a valuation gain of \$11.8 billion from our equity securities of Rivian Automotive, Inc., which completed an initial public offering in November 2021.

Amazon – 2021 Annual Report

Rivian Stock Price since IPO



Google Finance –
October 6, 2026

2025 – Other Income

Other Income (Expense), Net

Other income (expense), net, is as follows (in millions):

	Year Ended December 31,		
	2023	2024	2025
Marketable equity securities valuation gains (losses), net	\$ 984	\$ (1,278)	\$ 1,439
Equity warrant valuation gains (losses), net	26	(192)	553
Reclassification adjustments for gains (losses) on available-for-sale debt securities, net	(65)	(7)	5,600
Upward adjustments relating to equity investments in private companies	40	49	7,709
Foreign currency gains (losses), net	65	(408)	19
Other, net	(112)	(414)	(91)
Total other income (expense), net	<u>\$ 938</u>	<u>\$ (2,250)</u>	<u>\$ 15,229</u>

The marketable equity securities valuation gain (loss) of \$984 million, \$(1.3) billion, and \$1.4 billion in 2023, 2024, and 2025 is primarily from our equity investment in Rivian. The reclassification adjustments for the gains on available-for-sale debt securities of \$5.6 billion for the year ended December 31, 2025 is primarily from the portions of our convertible notes investments in Anthropic that were converted to nonvoting preferred stock during the year ended December 31, 2025. The upward adjustments relating to equity investments in private companies of \$7.7 billion for the year ended December 31, 2025 reflect observable changes in prices, primarily from our nonvoting preferred stock in Anthropic.

*Amazon Annual
Report 2025 – p. 45*